

CHAPTER 2:-COST OF CAPITAL

Cost of Capital refers to the minimum rate of return that a company must earn on its investments to satisfy its investors and lenders. It represents the cost incurred by a company for raising funds from different sources such as equity shares, preference shares, debentures, and loans.

In simple words, cost of capital is the price a company pays for using funds provided by investors and creditors. It is the required return expected by the providers of capital for taking the risk of investing in the company.

Definitions:

According to James C. Van Horne: "Cost of capital is the required rate of return that a firm must achieve in order to maintain the market value of its shares."

According to Ezra Solomon: "Cost of capital is the minimum required rate of earnings or the cut-off rate of capital expenditure."

Cost of capital is the minimum return that a company must earn from its investments to maintain the value of the business and satisfy the expectations of investors.

Significance / Importance of Cost of Capital

1. Helps in Investment Decisions

Cost of capital helps a company decide whether an investment project is profitable or not. The company compares the expected return from a project with its cost of capital. If the expected return is higher than the cost of capital, the project is accepted; otherwise, it is rejected. It helps in selecting profitable projects and proper utilization of funds. Example: If the cost of capital is 8% and the project provides a 12% return, the project should be accepted.

2. Helps in Capital Structure Decisions

Cost of capital helps a company decide the best combination of different sources of finance such as debt, equity shares, preference shares, and retained earnings. It helps in selecting the cheapest source of funds and maintaining an optimum balance between risk and cost.

3. Helps in Valuation of Company

Cost of capital is used to calculate the present value of future cash flows of a company. It acts as a discount rate and helps investors and management determine the value of the business. A lower cost of capital increases the value of the company.

4. Helps in Performance Measurement

Cost of capital acts as a standard for measuring company performance. Management compares the actual return earned with the cost of capital. If the return is higher than the cost of capital, it indicates efficient use of resources and value creation for shareholders.

5. Helps in Dividend Decisions

Cost of capital helps management decide whether profits should be distributed as dividends or retained for future growth. If retained earnings can generate higher returns than the cost of capital, the company should reinvest profits; otherwise, it should distribute dividends.

6. Helps in Financial Planning

Cost of capital helps in planning future financial requirements and selecting suitable sources of funds. It guides management in choosing economical financing options for expansion and new projects, reducing overall financial costs.

7. Helps in Financing Decisions

Cost of capital helps companies choose the most suitable method of raising funds. By comparing different financing sources, companies can reduce financial burden and improve profitability.

8. Helps in Maximizing Shareholder Wealth

Cost of capital helps a company make profitable investment and financing decisions. When a company earns returns higher than its cost of capital, the market value of the company increases, which benefits shareholders.

9. Helps in Decision Making

Cost of capital provides a benchmark for comparing different investment and financing alternatives. It helps managers make effective financial decisions that support long-term growth and success of the organization.

Characteristics of Cost of Capital

Minimum Required Return – It represents the minimum rate of return expected by investors and lenders.

Future-Oriented Concept – It is based on future expectations and investment decisions.

Risk Related – Higher risk involved in financing leads to a higher cost of capital.

Expressed in Percentage – Cost of capital is generally measured as a percentage rate.

Specific and Overall Cost – It can be calculated for individual sources of finance and also for total capital (WACC).

Depends on Market Conditions – It changes according to interest rates, economic conditions, and investor expectations.

Different for Different Sources – Debt, equity, and preference shares have different costs of capital.

Helps in Financial Decisions – It guides investment, financing, and dividend decisions of a company.

Why is cost of capital used as the discount rate?

Cost of capital is the minimum return expected by investors and lenders who provide money to a company. Future money is worth less than present money. Therefore, future cash flows are converted into present value by using the cost of capital as the discount rate.

The formula is:

$$\text{Present Value} = \frac{\text{Future Cash Flow}}{(1 + \text{Cost of Capital})^n}$$

Where:

- n = number of years
- Cost of capital is expressed in decimal form

For example, suppose a company expects to receive ₹1,10,000 after one year, and its cost of capital is 10%.

$$\begin{aligned}\text{Present Value} &= \frac{₹1,10,000}{(1 + 0.10)^1} \\ \text{Present Value} &= ₹1,00,000\end{aligned}$$

This means that ₹1,10,000 received after one year is equal to ₹1,00,000 today when the required return is 10%.

Therefore, cost of capital is used as the discount rate because it represents the return required by investors and helps calculate the present value of future cash flows.

Cost of capital = Required rate of return = Discount rate